DELPHI DIGITAL
RESEARCH REPORTS

Yield Strats #36 – DAO Staking, UNI V3 LPs & Leveraged Yield Farming

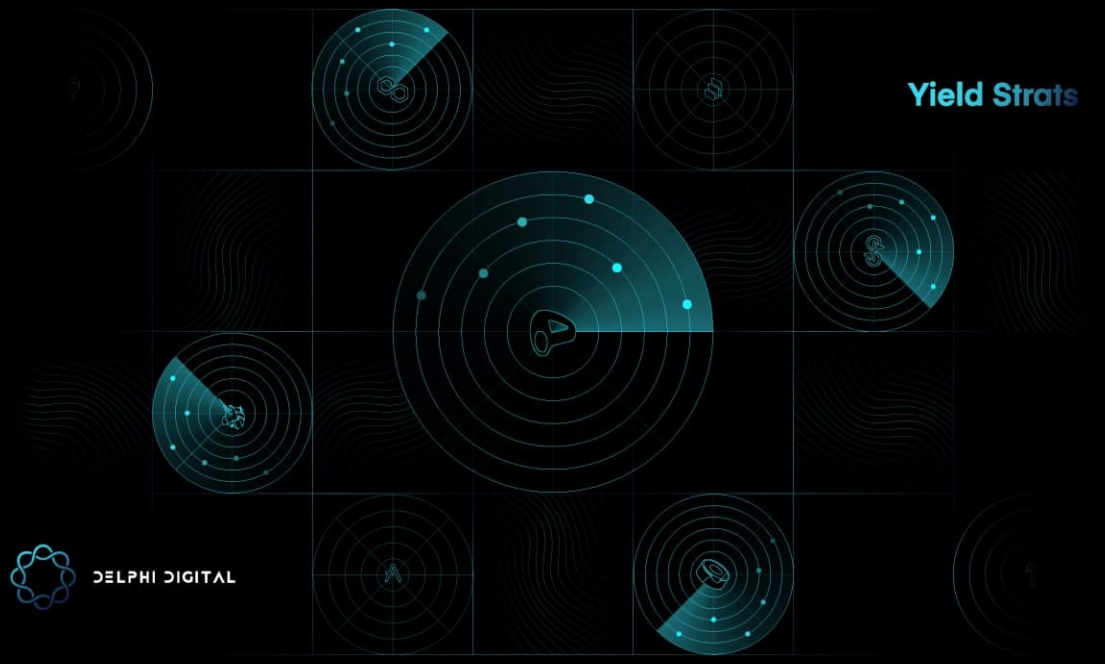
Yield Farming · NOV 26TH, 2021



John Jimin Noh

Delphi Newsletters | FIAT DAO | Francium | Popsicle Finance | Yield Farming

Disclosure: Members of our team are participating in the following farms. This statement is intended to disclose any conflict of interest and should not be misconstrued as a recommendation to purchase any token or participate in any farms. This post includes explanatory guides but they are not a recommendation to participate. This content is for informational purposes only and you should not make decisions based solely on it. This is not investment advice. Please exercise extreme caution if you intend to participate in these opportunities.



Yield Farming Overview

	Description	Assets	Chain	TVL	APR/APY
	FIAT DAO Staking Pools	FDT, BOND, UMA, MKR, YFI, RGT, wsOHM_FDT_SUSHI_LP	Ethereum	$411M	20-756%
	Popsicle Sorbetto V3 Pools	AXS, WETH, SHIB, FTM, SPELL, USDC, USDT	Ethereum	$33M	70-5229%
	Francium Leveraged Yield Farming Pools	ATLAS, RAY, POLIS, weAXS, ORCA, USDC	Solana	$217M	93-3375%

Data as of November 26th, 2021
Source: FIATDAO, PopsicleFinance, Francium

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FIAT DAO Farm



FIAT provides fixed income on DeFi assets with access to leverage and secondary market liquidity. Users first deposit a supported collateral asset into its

respective pool. The protocol then prices the deposited collateral via a discounted cash flow calculation. Users can then mint $FIAT against the principal value of their collateral per the determined pricing. They are then allowed to redeem their $FIAT, either to pay down their collateralized debt position or to acquire the cheapest-to-deliver collateral asset in the protocol vault. It's worth noting that FIAT is currently distributing tokens via liquidity mining, and their fixed income product is not live yet. You can learn more here.

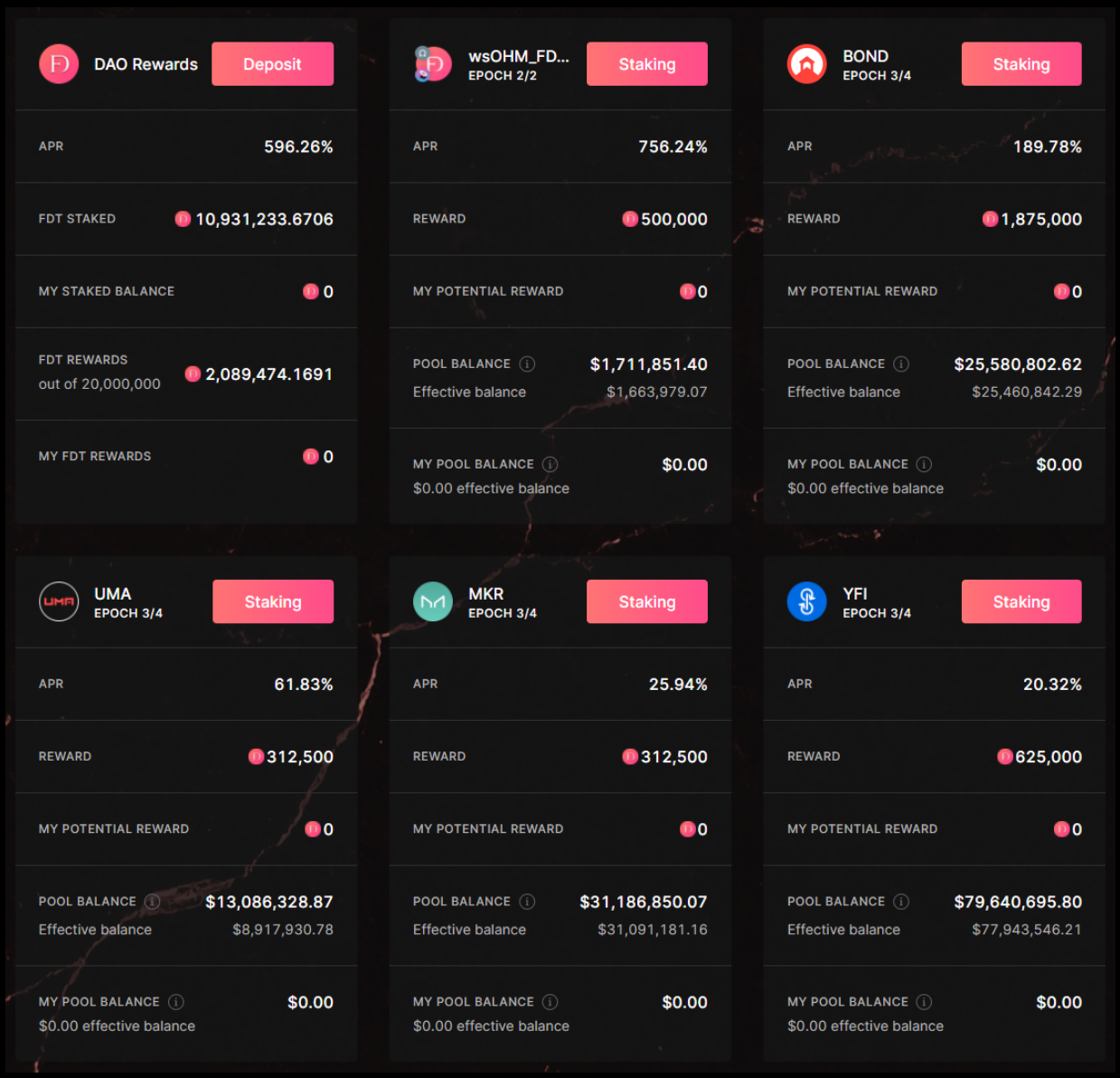
Yield calculations are provided on: https://app.fiatdao.com/rewards.

Note: FIAT distributes rewards on an epoch-based system. Users can deposit to pools any time in an epoch and receive rewards proportional based on the time they are staked for. But the funds must stay staked until the epoch ends in order to harvest rewards.

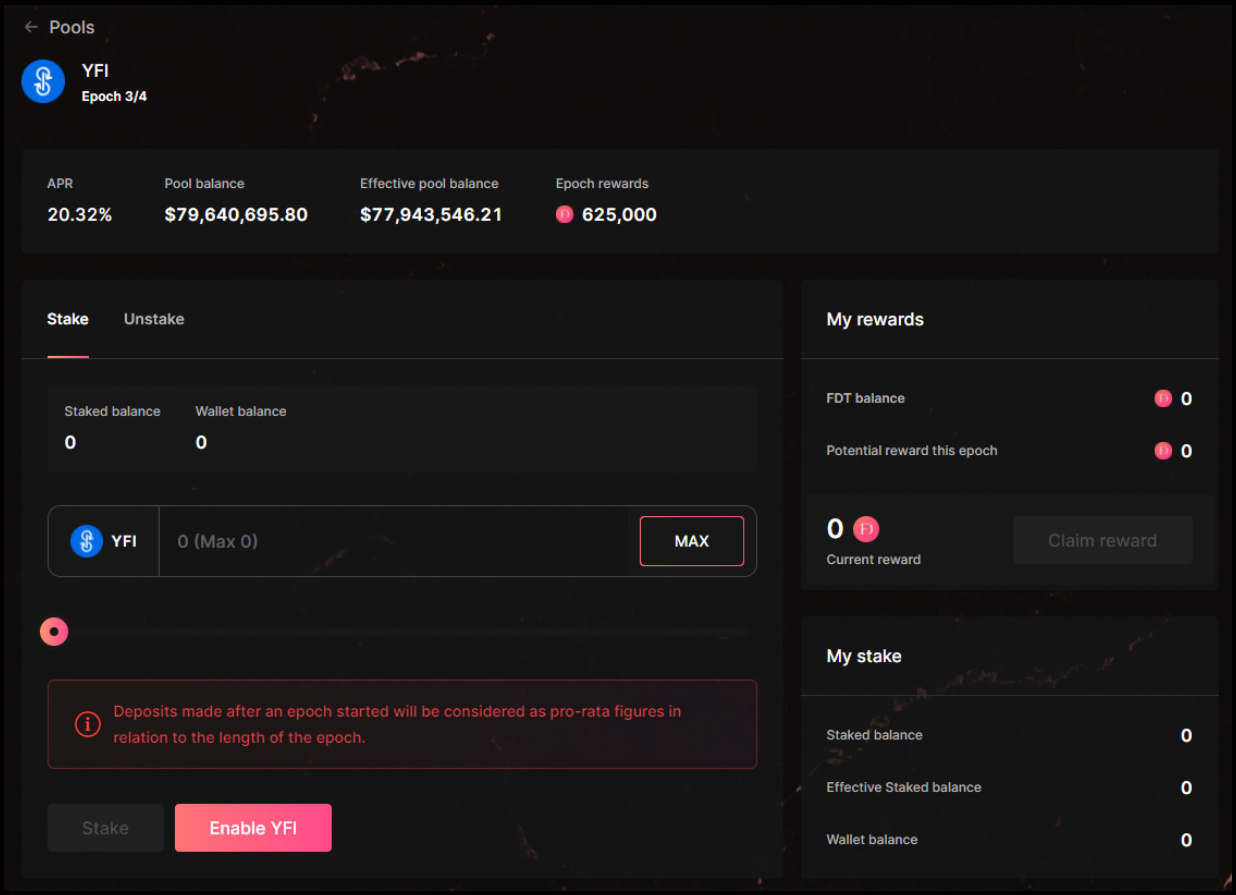
User Rewards, FDT Balance, and potential rewards can be seen at the top of the "Rewards" page.

Tutorial: YFI Staking

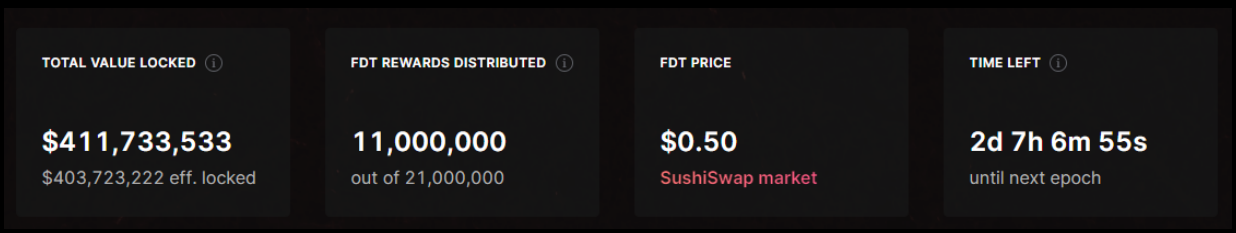
1. Go to https://app.fiatdao.com/rewards and select "s*taking."*



2. Enter the amount of token to stake. Enable YFI, then stake the tokens.



3. Total TVL, FDT rewards distributed, FDT price, and time until the next epoch can be seen on the dashboard.

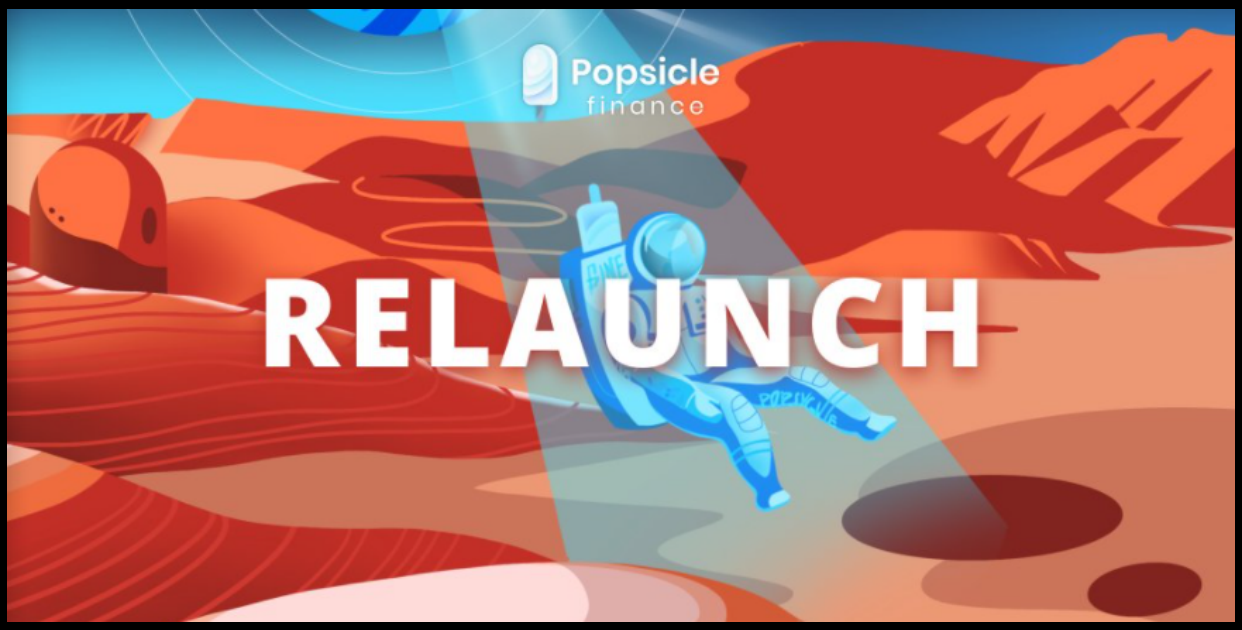


FIAT DAO Staking Exposure Summary

	Exposure	Staked Asset(s)	Epoch	Liquidation	Reward Asset(s)	TVL	APR
	Volatile	FDT	N/A	No	FDT	$5.7M	570%
	Volatile	wsOHM_FDT_SUSHI_LP	2/2	No	FDT	$1.7M	756%
	Volatile	BOND	3/4	No	FDT	$26M	190%
	Volatile	UMA	3/4	No	FDT	$13M	62%
	Volatile	MKR	3/4	No	FDT	$31M	26%
	Volatile	YFI	3/4	No	FDT	$3.79M	20%
	Volatile	RGT	3/4	No	FDT	$2.2M	74%

Data as of November 26th, 2021
Source: FIATDAO

Popsicle Finance Farm



Sorbetto Fragola is a passive Uniswap v3 LP manager. Simply speaking, Uniswap v3 allows LPs to select a designated price range to provide liquidity in. As a user, you would ideally want your funds to always be in range to maximize profitability and fees earned. A liquidity position is in range if current market price is between the lower and upper bound of a user's selected price range. You can learn more about Sorbetto Fragola here. And to read more about concentrated liquidity and how it works, please refer to this article.

Note: Sorbetto requires users to open a new position by depositing tokens in the ratio that corresponds to the range Sorbetto is currently providing liquidity. For example, if the ratio for USDC-WETH is 30/70, users need to deposit their funds as 30% USDC and 70% WETH. Luckily, this isn't a manual process as Sorbetto automatically swaps tokens into the necessary ratio required. All the user has to do is select their slippage tolerance and execute the swap. After successfully executing the swap, liquidity is added to the vault and a proportional amount of liquidity tokens are sent to the user.

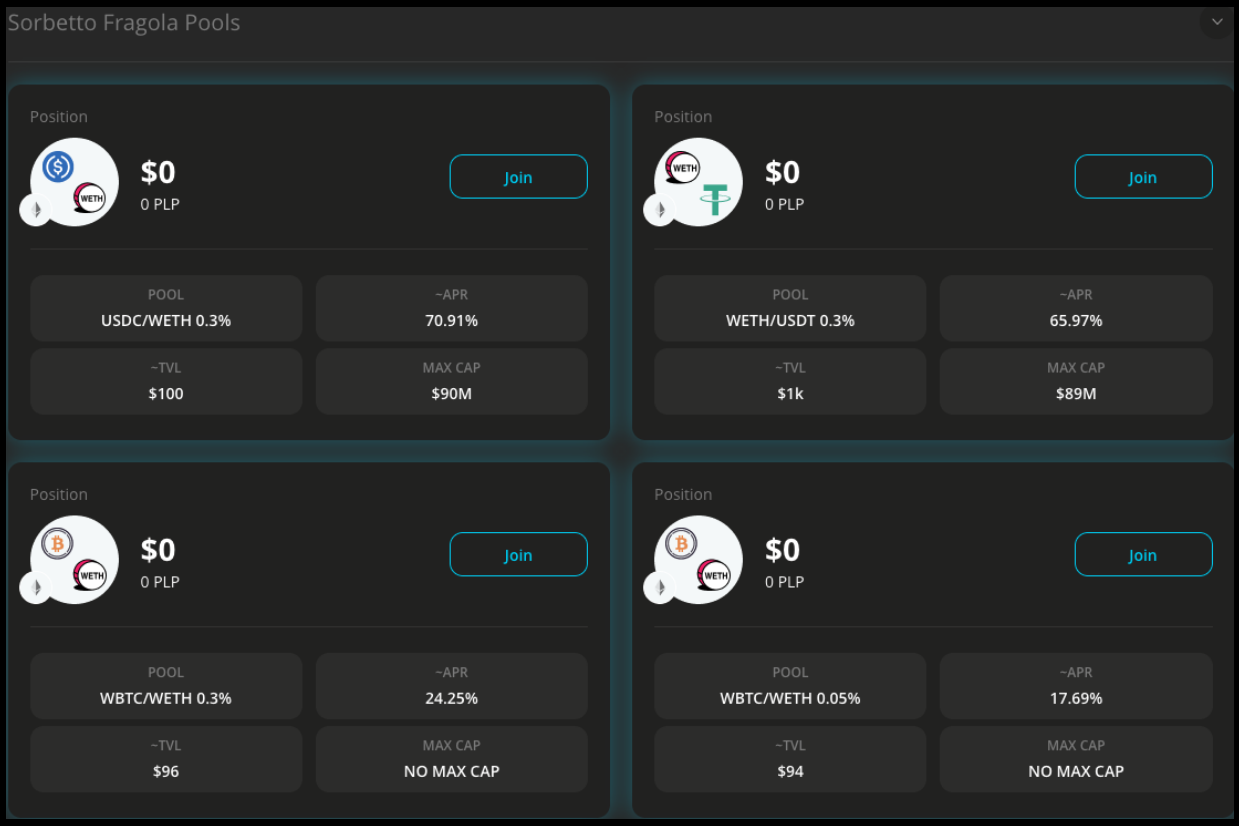
Popsicle LP Shares **are NOT NFTS**. When the user wants to remove their funds, they will receive tokens at the current pool ratio. For example, if the ETH/USDT pool is currently 60/40, then the user will receive their assets in that proportion.

Caution: Popsicle Finance V1 was exploited for roughly $21M in Aug. 2021. Since then, the protocol has made exploit victims whole again, and additionally had a

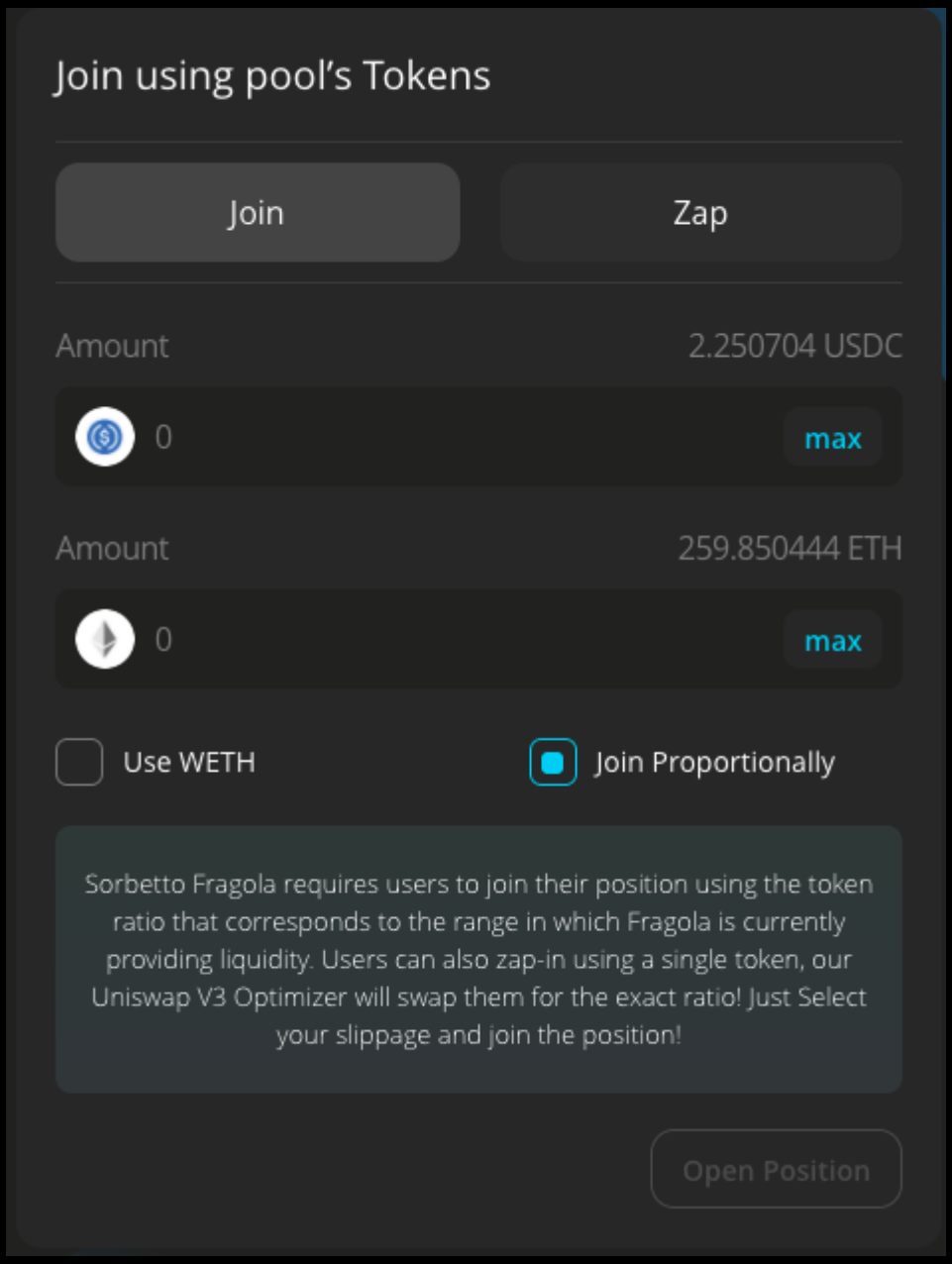
round of audits conducted by Quantstamp and Certora before re-launching.

Tutorial: USDC/WETH 0.3% Pool Example (tutorial by Popsicle)

1. Go to https://pro.popsicle.finance/ and "*join*" the USDC/WETH 0.3% pool.



2. A new page will open with two frames. On the right, you will see some data specific to the pool selected. On the left, you will see the following frame:



Here we see an input UI. On the top, there are two checkbox toggle switches.



Use WETH: allows you to use either WETH or ETH to open a position.

Join Proportionally: used if you already have the exact number of tokens already in your wallet needed to open this position. If you want to join the position using only one of the two assets, uncheck this box.

3. There are two methods to open a position:

Opening a position proportionally: As mentioned earlier, Sorbetto Fragola requires users to join the pool using the token ratio that corresponds to the ratio

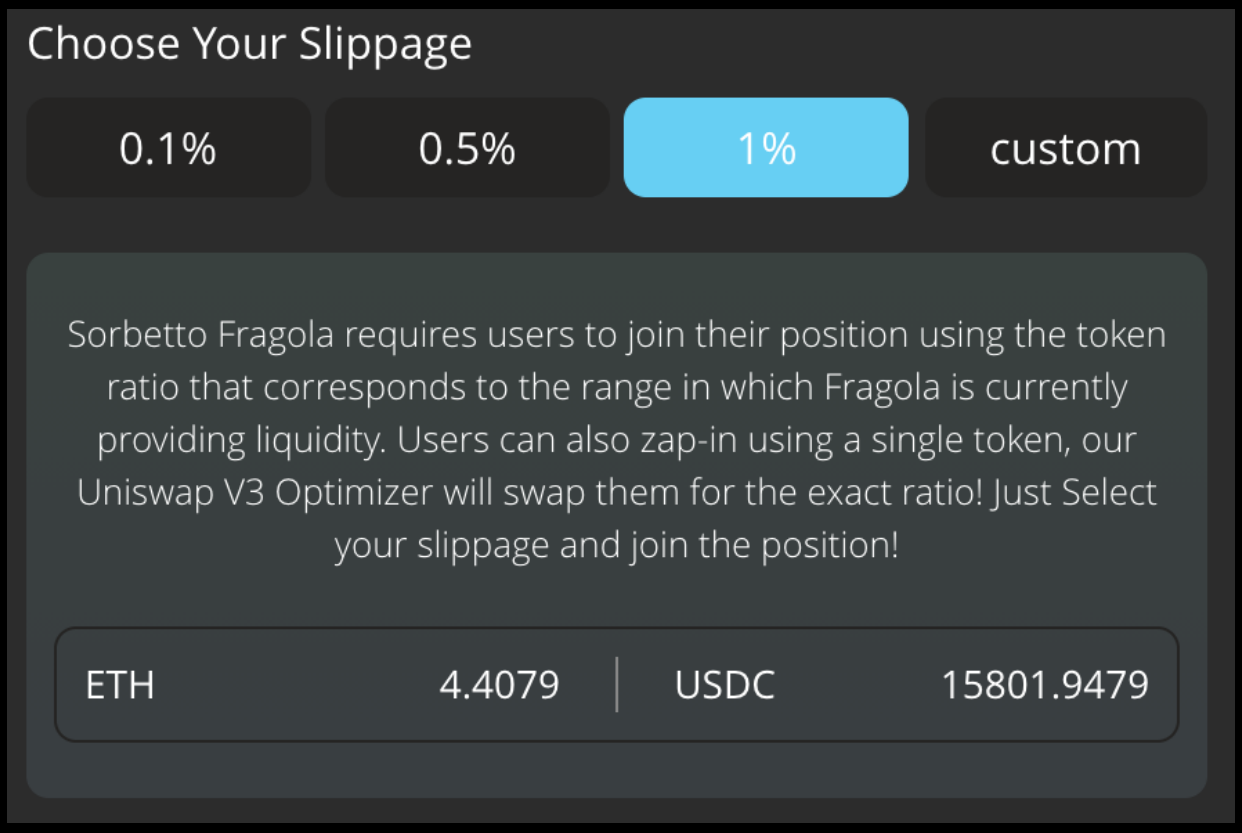
of tokens in the Sorbetto pool. Users can input the amount of one token and the ratio will adjust accordingly. If you already have a sufficient amount of tokens if your wallet, you can just click “Open Position” to be on your way.

Note: If this is your first time providing liquidity to the pair, you will be required to approve spending for both tokens first.

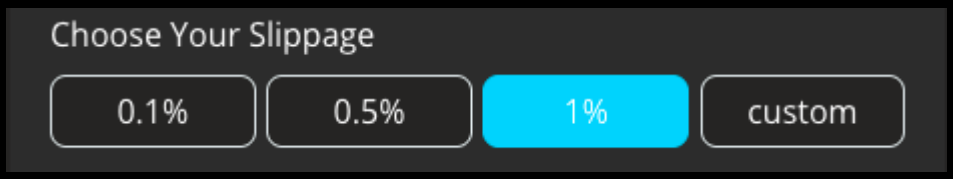
After the transaction is confirmed, you will receive PLP tokens in your wallet. **This is confirmation that you have successfully opened a position.**

Opening a position without the exact ratio: If you do not have a sufficient amount of both tokens to join Sorbetto Fragola proportionally, you can untick the “join proportionally” button. Here, you can provide either USDT or ETH on their own. Sorbetto then swaps it for the exact amount of tokens per the current pool ratio. It then joins the Sorbetto vault – all in one transaction.

As you adjust the amount of the single token in the top frame, the box underneath will let you know how many of the other token you will need to deposit.



Above this, you will see the “choose your slippage” option.



Here you can choose your slippage tolerance for the swap that will take place.

Note: Slippage, in simple terms, is the difference between the current price and the price at which your swap is executed. The lower your slippage limit, the better the price you will get. Although selecting a very low level of slippage may cause your transaction to revert.

When the settings are acceptable, press the "open position" button on the right side of the frame. Users will be prompted to pay for gas and proceed to receive PLP tokens in their wallet. This is **confirmation** that they've successfully opened a position without the exact ratio of tokens.

Popsicle V3 Pools Exposure Summary

	Exposure	Staked Asset(s)	Liquidation	Reward Asset(s)	TVL	Max TVL	APR
	Volatile	AXS/WETH 0.3%	No	Pool Assets	$490K	$1.25M	5229%
	Volatile	SHIB/WETH 0.3%	No	Pool Assets	$672K	$809K	672%
	Volatile	SHIB/WETH 1%	No	Pool Assets	$745K	$3.69M	387%
	Volatile	FTM/WETH 1%	No	Pool Assets	$1.71M	$1.71M	269%
	Volatile	SPELL/WETH 0.3%	No	Pool Assets	$671K	$696K	210%
	Volatile	USDC/WETH 0.05%	No	Pool Assets	$3.79M	$17.61M	70%
	Volatile	WETH/USDT 0.05%	No	Pool Assets	$2.2M	$15.28M	97%

Data as of November 26th, 2021
Source: PopsicleFinance

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Francium Farm



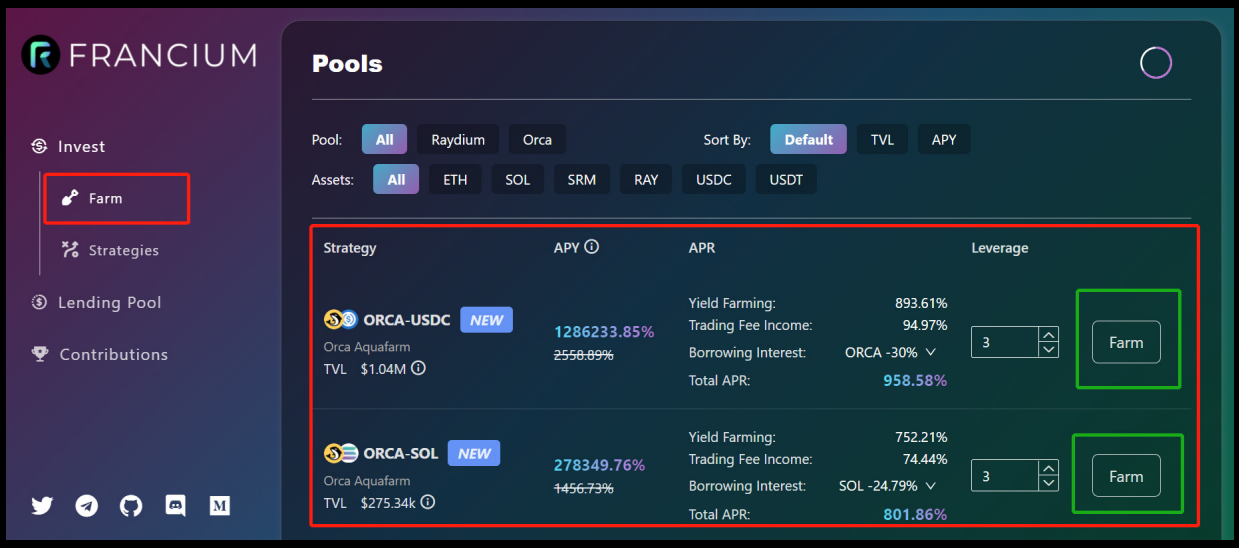
Francium Protocol is a leveraged yield aggregator built on Solana. Francium Protocol aims to provide diverse yield via levered strategies. User can open leveraged positions on multiple strategy sets such as portfolio management, yield farming, algorithmic trading strategies, and more. You can learn more about it here.

Yield calculations are provided on: https://francium.io/app/invest/farm. To access Francium, you'll need to use a wallet that supports Solana.

Note: Your earnings are auto-compounded into the respective LP tokens. You can check the APR to APY conversion here. Users can exit their leveraged position *at any time*.

Leveraged Yield Farming Tutorial: ORCA-USDC Example (tutorial by Francium)

1. Go to https://francium.io/app/invest/farm, select *ORCA-USDC* then "*farm.*"



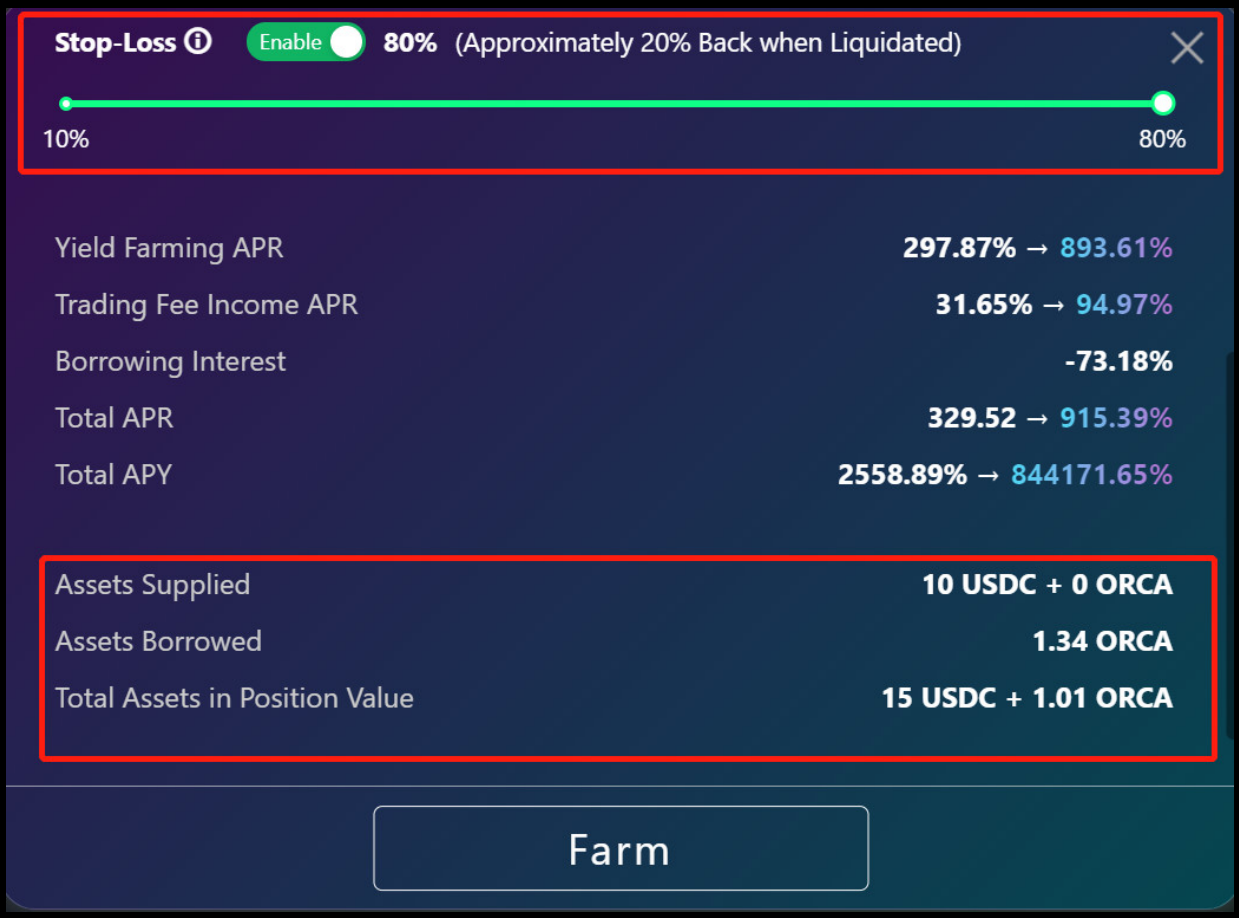
2. You can deposit a single asset (ORCA or USDC) or deposit both in a 50/50 proportion. Users are free to choose their level of leverage, and also decide

whether to borrow USDC or ORCA per their desire. The above choices can be found in the *"position selection strategy"* mentioned later on.

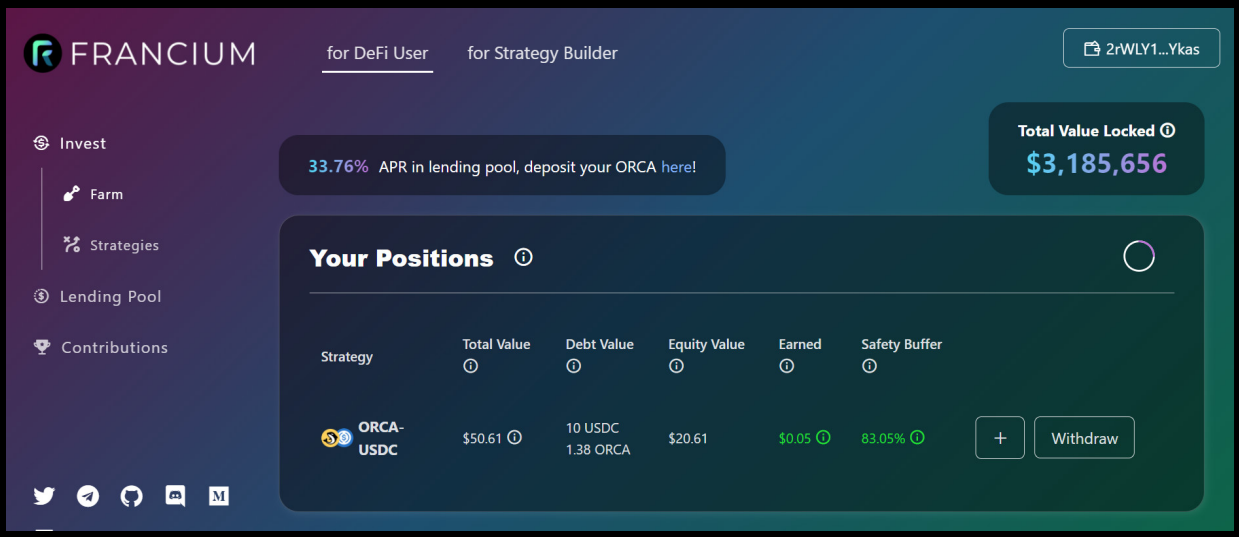


3. Set a stop-loss level for safety. In the first screenshot above, for example, principal of 10 USDC is provided. After choosing 3x leverage, the stop-loss feature is enabled and can be set between 10% and 80% per user convenience.

The pool requires two assets in equal value i.e. 50/50. Therefore, if the value of one asset is greater than the other, Francium will automatically swap a portion of the first asset for the second, thereby forming the liquidity position. So, the final total as pictured below is 15 USDC + 1.01 ORCA.



4. Click on the *"farm"* button to complete the trade. After this, your position will be created and you'll be able to monitor changes as and when they occur.



Francium Pools Exposure Summary

	Exposure	Staked Asset(s)	Pool Weight	IL	Liquidation	Reward Asset(s)	TVL	APY
	Volatile	ATLAS-RAY	50/50	Yes	Yes	LP Auto-Compounded	$3M	275-3375%
	Volatile	POLIS-RAY	50/50	Yes	Yes	LP Auto-Compounded	$1M	240-2789%
	Volatile	weAXS-USDC	50/50	Yes	Yes	LP Auto-Compounded	$4M	192-1603%
	Volatile	ORCA-USDC	50/50	Yes	Yes	LP Auto-Compounded	$16M	93-437%
	Volatile	ATLAS-USDC	50/50	Yes	Yes	LP Auto-Compounded	$15M	178-1362%
	Stable	POLIS-USDC	50/50	Yes	Yes	LP Auto-Compounded	$5M	138-893%

Data as of November 26th, 2021
Source: Francium

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As always, please exercise extreme caution if you intend to participate in these opportunities. Happy farming everyone!